

ment under the India Tourism Development Corporation (ITDC). “A strategic decision was also taken to go for horizontal rather than vertical growth,” Hasija says, adding that several initiatives were taken to boost the catering and tourism businesses.

Bharat Gaurav trains, Tejas trains, an online travel agency certificate from the Ministry of Tourism, and a shift to a deluxe model of tourism from budget tourism helped the PSU in this journey even as it tightened its belt and cut expenditure.

## Scale of operations

- ▶ **1.18 million** tickets booked daily
- ▶ **14.8 million** meals booked
- ▶ **357.7 million** Rail Neer bottles produced
- ▶ **91,555** passengers used its tour packages

## Revenue contributors

- ▶ **Catering: 41.69%**
- ▶ **E-ticketing: 33.83%**
- ▶ **Tourism: 15.98%**
- ▶ **Rail Neer: 8.5%**

Vikas Gupta, smallcase Manager and CEO, Chief Investment Strategist, at investment advisory Omni-Science Capital, notes that IRCTC’s revenues had already nearly touched the pre-pandemic level of FY19 in FY22. And it had extraordinary growth over that in FY23. “In fact, FY22 had roughly the same level of revenues as FY19, that is, the pre-Covid year, and in FY23, the revenues were such that they had a CAGR of more than 17% from FY19 to FY23. Profits, too, have been growing at a good pace. FY24 again promises to be a 15% growth rate year, and this momentum is likely to be continued in the future, albeit at slightly lower growth rates, comparatively,” he says.

Gupta notes that one of the factors underlying that

revenue growth was that trains with a pantry car increased significantly from nearly 400 to nearly 500 and were further supported by train-side vending on nearly 700 trains. “Tejas, Maharaja, Teerth, Bharat Gaurav, and air ticketing were other factors driving growth. Customers have responded well to the IRCTC’s theme packages, especially as pent-up demand comes back after the Covid hiatus,” he says.

And Gupta expects this growth to continue. The launch of more than 400 high-speed Vande Bharat and a similar number of Amrit Bharat trains, as part of the 3,000 new trains to be launched in the near future, and numerous railway station upgrades promise to aid the growth of IRCTC in terms of ticketing, catering, and tourism for several years, he adds.

Jinesh Joshi, Research Analyst at brokerage firm Prabhudas Lilladher, says that post-Covid, the pick-up in tourism has benefitted all companies in the travel segment, including IRCTC. “The rail PSU also took several steps, such as launching 10 Bharat Gaurav trains, that helped boost its business further. The major driver of IRCTC’s revenue remains the ticketing business, and we do not see much change in the non-suburban ticketing volumes or traffic,” he says, adding that any upswing in its earnings per share from the current level may be challenging. “The key earnings lever for IRCTC is an increase in the convenience fee or retail price of Rail Neer. However, we believe the possibility of any revision in the near term is limited,” he notes. Hasija agrees and says that ticketing through IRCTC has risen to 82% of the total tickets, and the rail PSU will now have to focus on resources other than the convenience fee, which was about a third of the total internet revenue.

Having spent 13 years at IRCTC in various capacities, Hasija is a firm believer in its bright future. “IRCTC’s business model is resilient,” she declares. According to her, catering will grow as more Vande Bharat trains come up and the dedicated freight corridor frees up more line capacity for trains. The demand for Rail Neer is also growing, and production capacity is being expanded.

Hasija’s term at IRCTC was followed by the appointment of Seema Kumar as additional CMD at the railway PSU. Recently, in January, Sanjay Kumar Jain was appointed as the CMD. IRCTC seems keen now to expand its footprint in the payments space and recently incorporated a wholly-owned subsidiary, IRCTC Payments Ltd.

As it embarks on its next phase of growth, the foresight and determination Hasija instilled in the PSU will hold it in good stead. **BT**

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